The most identifiable factors that favoured Ratan were his opinion on the stifling Licence Raj and the imminency of its dismantlement, his young age, his vision, courage, enterprise, his emphasis on technology as the new focus of the group, his international outlook, his compassion and ethical values that sat well with the reputation and the philosophical foundation of the Tatas.

The changes emerging in the country's economic landscape, beginning in the mid-1980s, pointed towards a transformation in the nation's economic policies. In this situation, what stood out was Ratan's liberal outlook and the convergence of his views with JRD's on the need to dismantle the Licence Raj. The restrictive policies had led to rampant crony capitalism and worked to the Tatas's disadvantage. As the German business newspaper *Handelsblatt* wrote, 'Tatas' reputation is based … above all on the ethical business practice which has survived in a climate of capitalist exploitation and political corruption over the decades. This has its own price and during the "Licence Raj" Tata had to give up a number of projects.'

By the mid-1980s, definite signs of change began to emerge in the Indian economy and by the end of the decade, it became increasingly evident that the government would give a 'go-by to the Nehruvian economic policy'. The first signs of promise came with the election of the young Prime Minister, Rajiv Gandhi, in 1984. JRD knew that his successor would need to work in a more liberalized economic landscape. He was aware that new opportunities would abound, and the Tatas would have to be prepared to face the challenge and reap the benefits.

The recommendations contained in the strategic plans that Ratan had submitted to JRD now seemed like a blueprint that had been made to address such a recasting of policies. It marked Ratan in JRD's eyes as the man for the future.

For instance, one of the policies that the government approved was the promotion of joint-sector projects. The need to forge collaborations was a recommendation that Ratan had made in 1978 in his letter to JRD, where he said that the Tatas should venture through JVs into areas where licences to the private sector were restricted, if not altogether denied. This also found a place in Ratan's Strategic Plan. In it, he had stated: 'Among other strategies for growth, Tatas should actively pursue joint sector projects.' Though Ratan's plan was met with scepticism and opposition by the old guard, they were, nevertheless, influenced by it. One example of this was the